

the street corner and replaced the “FREE” sign with “\$50.” Not an hour later, the dresser was stolen.

Same objective, different pricing strategy.

Unless price is your brand (Wal-Mart, Southwest Airlines), don't let price steal your brand when it should be defining it. Price is more than just a competitive metric that slides up and down to sell goods faster. It also indirectly conveys the value of your product or service. I had multiple competitors who undercut me by 10%, sometimes even 20%. Yet I continued to prosper. I wasn't the cheapest, so why did I do well? My service had better value, and I kept my price correlated to that value. My leads were better targeted. I had better joint venture partners. I had great support. I was running a brand while my competitors were running businesses.

My artist friend, who painted the most exquisite, beautiful paintings, priced her work through her own limited price filter. She was a single mom, struggling to pay the bills, living paycheck to paycheck. For her, \$500 was an extraordinary amount, and because of that, she priced her works far below their true value. Her own corrupted vision of price distorted her earning power and degraded the perceived value of her work. I suggested a price increase. Take that \$90 painting, make it \$300, and see what happens. Sure enough, she sold just as much art at the higher price, because price implies value and defines brands.

Even in the Slowlane, pricing can play a role, in the form of a salary you're willing to take. For example, this was posted at the Fastlane Forum (TheFastlaneForum.com):

A company placed two ads for only one Web programmer position in the paper. One listed the salary as \$120K a year. The other ad listed it for \$32K a year. The first, higher paying ad received only about four responses. The second ad for MUCH less pay got over 100 responses. Most people have a lack of confidence in themselves and their ability and are willing to settle for so much less.

Are you settling for less in business? Is your warped frame of value corrupting your unrealized potential? The right pricing strategy is crucial to brand building and marketing. The wrong price conveys the wrong meaning. For industries with heavy commoditization, price is crucial. A public relations consultant can charge 30% higher than their competitors, but a gas station can't.

While I'm completely heterosexual, I have a fascination with designer purses because I admire their pricing strategy. How does a handbag sell for \$4,000 when it probably costs them less than \$100 to produce? Branding and marketing. Price is apart of the brand build.

Price is one of the many ways to get into the consumer's head. To use price for your brand, you have to convince the consumer of value beyond the cost of its